



FIRST QUARTER 2013 FINANCIAL RESULTS

April 30, 2013

zoetis

FORWARD-LOOKING STATEMENTS

This presentation contains forward-looking statements that address various matters including our 2013 financial guidance and forecast future business performance. Each forward-looking statement contained in this presentation is subject to risks and uncertainties that could cause actual results to differ materially from those expressed or implied by such statement. Applicable risks and uncertainties include, among others, regulatory actions, such as restrictions on use of antibacterials and timing of any new product approvals; perceived adverse effects on human health linked to animals that use our products; outbreaks of infectious diseases in animals that use our products, such as the incidence of H7N9 bird flu in China; competitive pressures, including from manufacturers of generic products; international economic developments, including fluctuations in exchange rates; environmental trends and conditions; and the risks identified under the heading "Risk Factors" in our Annual Report on Form 10-K for 2012, which was filed with the Securities and Exchange Commission on March 28, 2013, as well as the other information we file with the SEC. We caution investors not to place considerable reliance on the forward-looking statements contained in this presentation. You are encouraged to read our filings with the SEC, available at www.sec.gov, for a discussion of these and other risks and uncertainties. The forward-looking statements in this presentation speak only as of the date of this document, and we undertake no obligation to update or revise any of these statements. Our business is subject to substantial risks and uncertainties, including those referenced above. Investors, potential investors, and others should give careful consideration to these risks and uncertainties.

NON-GAAP FINANCIAL INFORMATION

We use non-GAAP financial measures, such as adjusted net income and adjusted diluted earnings per share, to assess and analyze our operational results and trends and to make financial and operational decisions. We believe these non-GAAP financial measures are also useful to investors because they provide greater transparency regarding our operating performance. The non-GAAP financial measures included in this presentation should not be considered alternatives to measurements required by GAAP, such as net income, operating income, and earnings per share, and should not be considered measures of liquidity. These non-GAAP financial measures are unlikely to be comparable with non-GAAP information provided by other companies. Reconciliation of non-GAAP financial measures and GAAP financial measures are included with earnings materials posted on our website at www.zoetis.com.

JUAN RAMÓN ALAIX
CHIEF EXECUTIVE OFFICER

KEY CEO TAKEAWAYS

STRONG FIRST QUARTER PERFORMANCE

- Performance demonstrates commitment to grow Zoetis, profitably, by the right allocation of resources and pursuit of growth strategies

COMMITMENT TO OUR BUSINESS MODEL

- Focused on delivery of quality medicines, vaccines and services to veterinarians and livestock producers
- We build on our core, interconnected, capabilities to maintain market leadership

FOCUSED PERFORMANCE ALIGNED WITH MARKET TRENDS AND REALITIES

- We are delivering in alignment with long-term market trends and current realities:
 - Impact of adverse weather conditions on our customers' businesses
 - Population growth leading to increased demand of animal protein
 - Evolving middle class population and increased spending on pet care
- Innovation, brand lifecycle management and the diversity of our portfolio are key factors in our results

RICK PASSOV
CHIEF FINANCIAL OFFICER

INCOME STATEMENT HIGHLIGHTS

	First Quarter		
	2013*	2012*	Change
Revenues	1,090	1,047	4%
Reported Net Income	140	111	26%
Reported Diluted EPS	\$0.28	\$0.22	27%
Adjusted Net Income ¹	179	152	18%
Adjusted Diluted EPS ¹	\$0.36	\$0.30	20%

*Millions of dollars, except per share data

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

ADJUSTED INCOME STATEMENT HIGHLIGHTS

	First Quarter				
	2013*	2012*	Change	Foreign Exchange	Operational ²
Revenues	\$1,090	\$1,047	4%	(1)%	5%
Adjusted Cost of Sales ¹	398	388	3%	1%	2%
<i>as a percent of revenues</i>	<i>36.5%</i>	<i>37.1%</i>	<i>NA</i>	<i>NA</i>	<i>NA</i>
Adjusted SG&A Expenses ¹	322	331	(3)%	(1)%	(2)%
Adjusted R&D Expenses ¹	90	93	(3)%	—	(3)%
Adjusted Interest Expense ¹	22	8	175%	—	175%
Adjusted Other (Income) / Deductions ¹	2	(6)	(133)%	(166)%	33%
Adjusted Tax Rate ¹	29.0%	33.2%	NA	NA	NA
Adjusted Net Income ¹	179	152	18%	(10)%	28%

*Millions of dollars

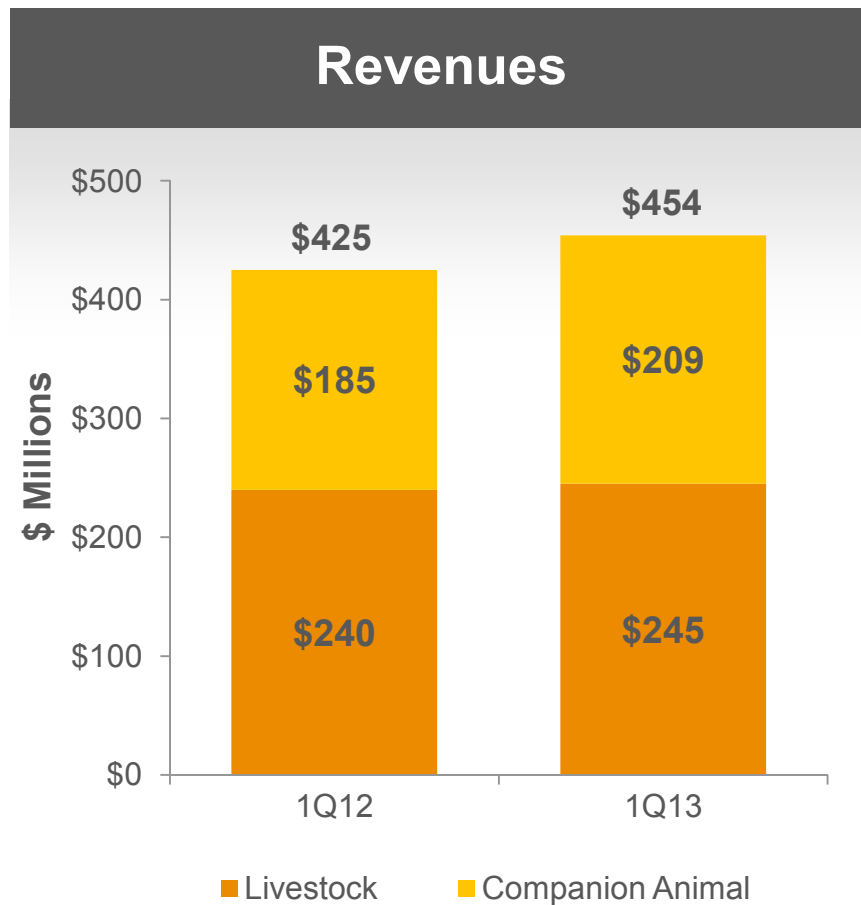
NA – Not applicable

¹ Adjusted cost of sales, adjusted selling, general and administrative expenses (SG&A), adjusted research and development expenses (R&D), adjusted interest expense, adjusted other (income) / deductions, adjusted tax rate and adjusted net income (non-GAAP financial measures) are defined as the corresponding reported U.S. generally accepted accounting principles (GAAP) income statement line items, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

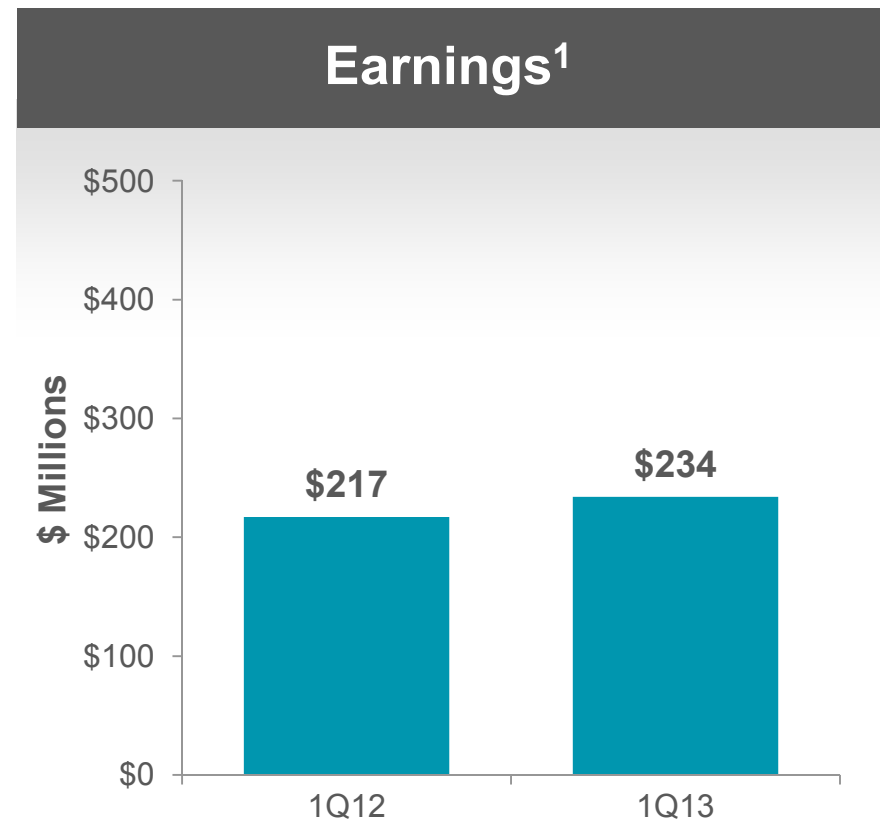
² Operational change excludes the impact of foreign exchange.



US SEGMENT PERFORMANCE



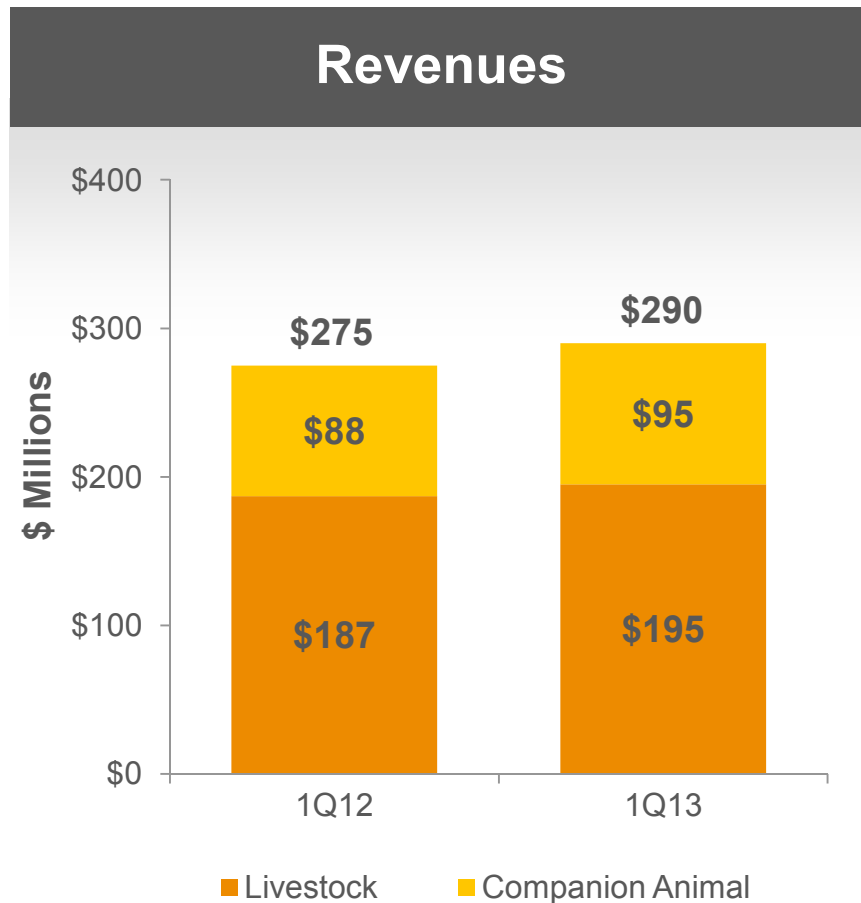
7% Growth



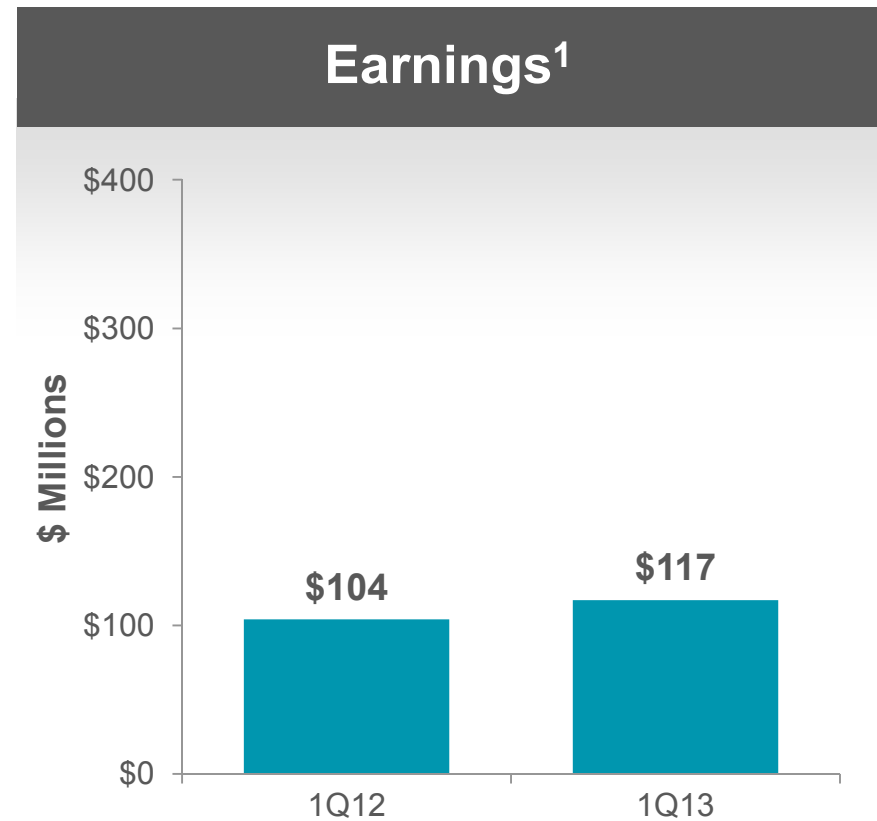
8% Growth

¹Defined as income before provision for taxes on income

EuAfME SEGMENT PERFORMANCE



5% Reported Growth
4% Operational² Growth

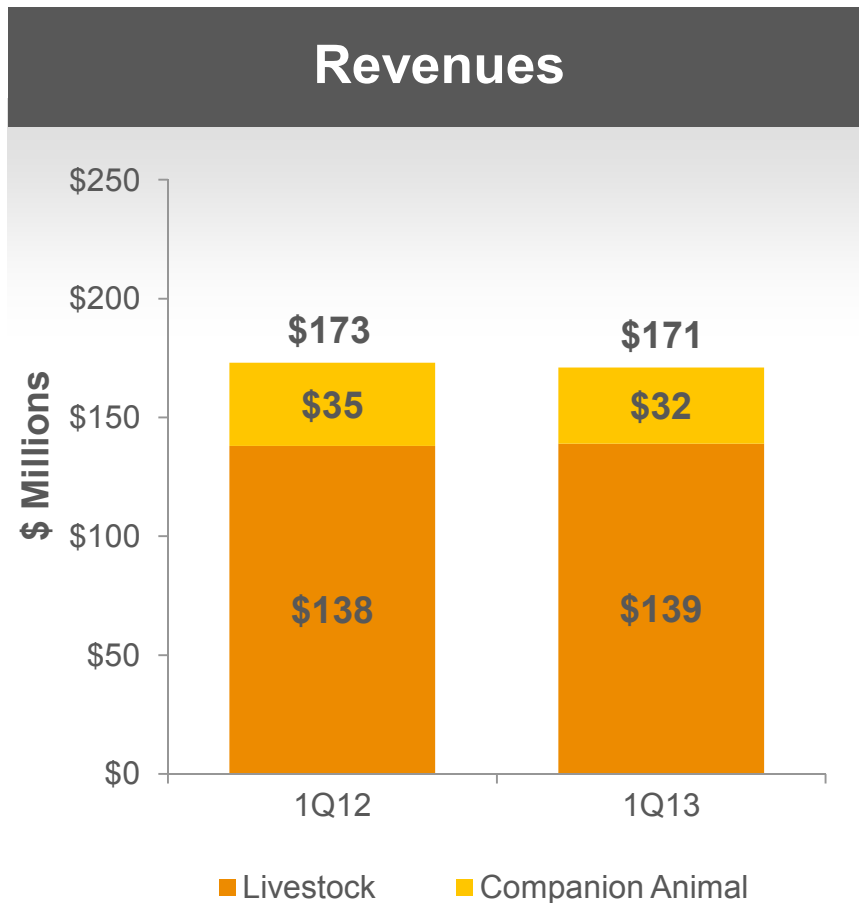


13% Reported Growth
16% Operational² Growth

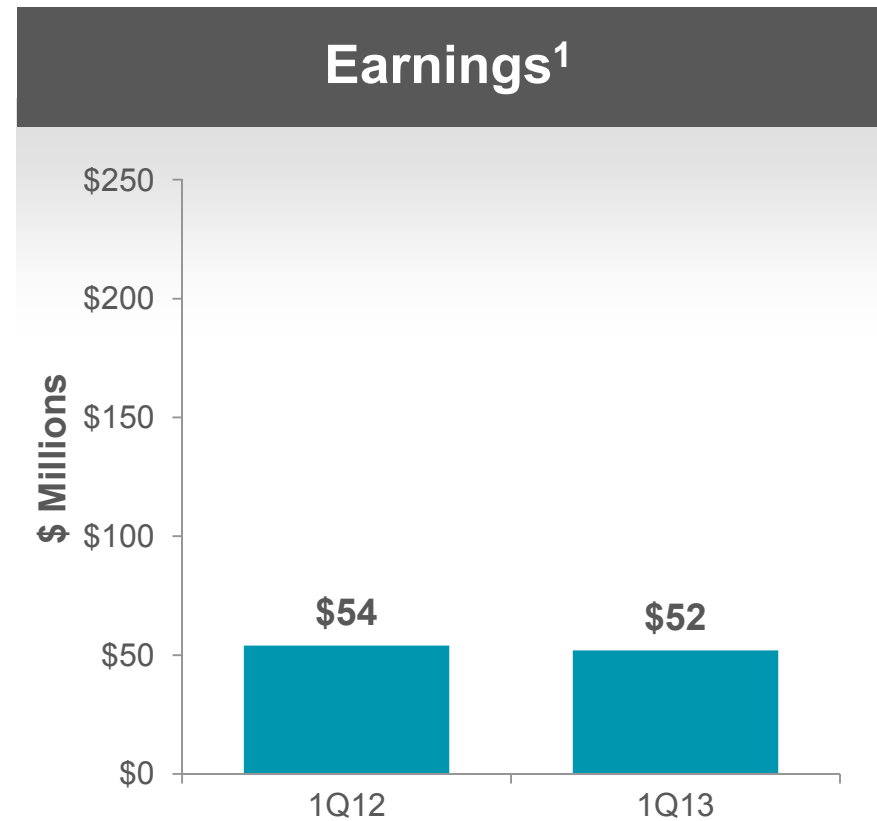
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

CLAR SEGMENT PERFORMANCE



1% Reported Decline
4% Operational² Growth

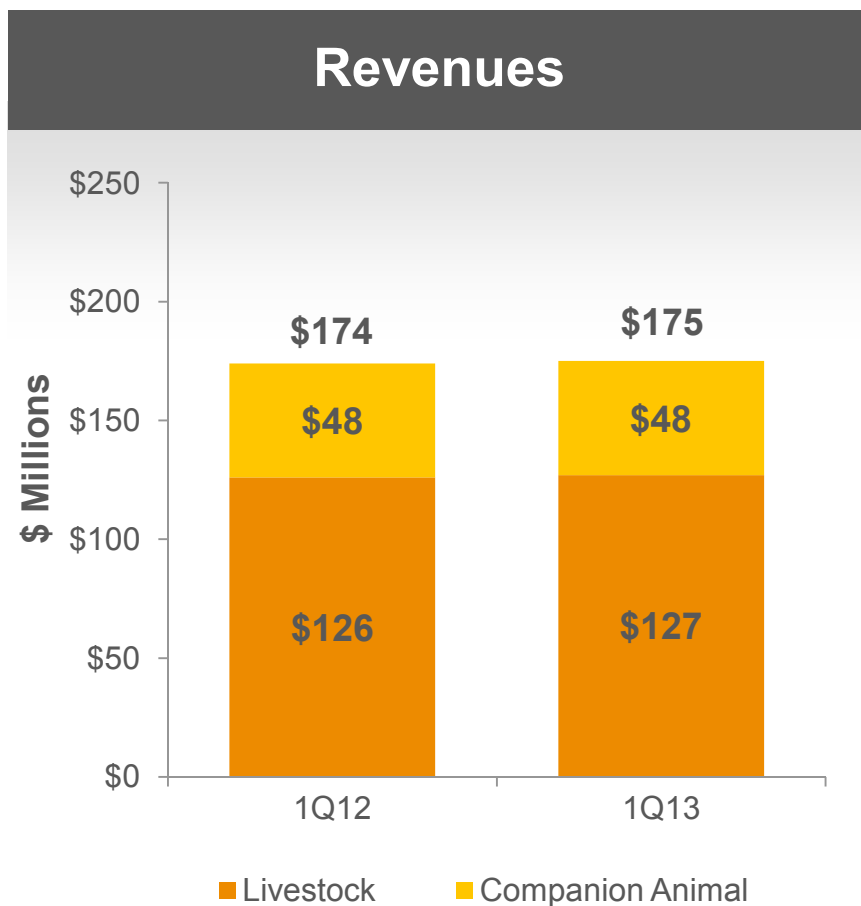


4% Reported Decline
9% Operational² Growth

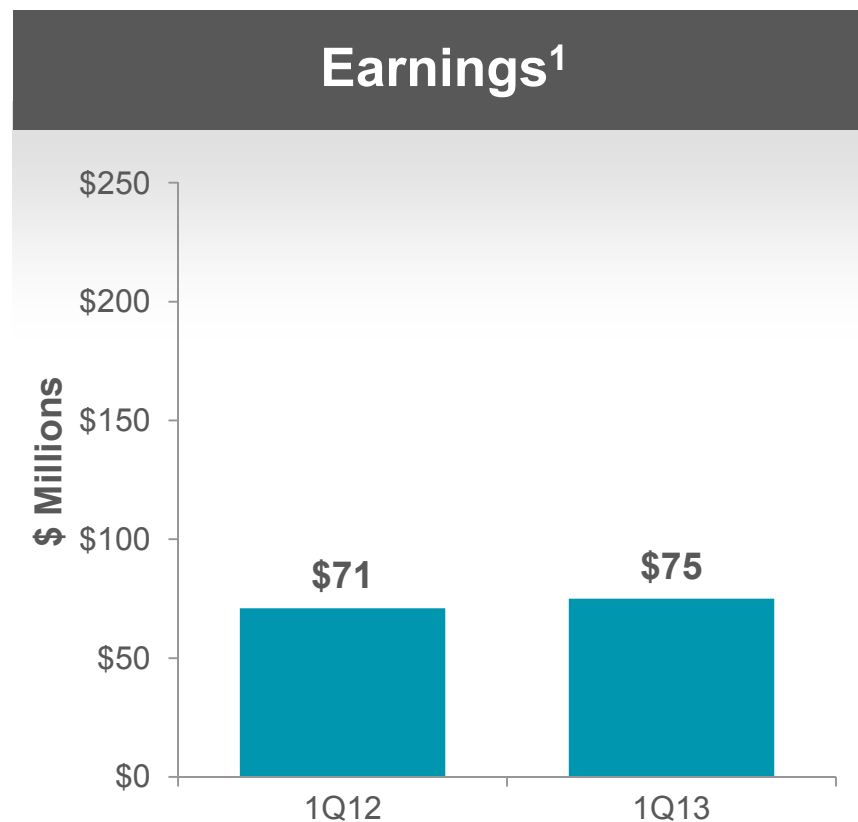
¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

APAC SEGMENT PERFORMANCE



1% Reported Growth
2% Operational² Growth



6% Reported Growth
6% Operational² Growth

¹Defined as income before provision for taxes on income

²Operational growth is defined as growth excluding the impact of foreign exchange

2013 GUIDANCE

Revenues	\$4.425B – \$4.525B
Adjusted Cost of Sales as a Percentage of Revenues ¹	35% – 36%
Adjusted SG&A Expense ¹	\$1.385B – \$1.435B
Adjusted R&D Expense ¹	\$385M – \$415M
Adjusted Interest Expense ¹	Approximately \$115M
Adjusted Other (Income) / Deductions ¹	Approximately \$20M income
Tax Rate on Adjusted Net Income	Approximately 29.5%
Reported Diluted EPS	\$1.00 – \$1.06
Adjusted Diluted EPS ¹	\$1.36 – \$1.42
Certain Significant Items ² and Acquisition-Related Costs	\$200M – \$240M

Full-year 2013 guidance assumes a blend of the actual exchange rates in effect during the first quarter of 2013 and a mid-April exchange rate for the remainder of the year.

¹Non-GAAP adjusted net income and non-GAAP adjusted diluted earnings per share (non-GAAP financial measures) are defined as reported net income attributable to Zoetis and reported diluted earnings per share, excluding purchase accounting adjustments, acquisition-related costs and certain significant items.

²Includes certain nonrecurring costs related to becoming a standalone public company, such as new branding (including changes to the manufacturing process for required new packaging), the creation of standalone systems and infrastructure, site separation and certain legal registration and patent assignment costs.

Q&A

zoetis